

NexaCore Technologies

Q3 2025 Operational Recovery Report | July 1 - September 30, 2025
Prepared by: Office of the CEO | Distribution: Board of Directors -- Confidential

Executive Summary

Q3 2025 marks the beginning of NexaCore's recovery from the compound crises of 2024 (high customer churn, talent attrition, cybersecurity breach) and Q1-Q2 2025 (operational meltdown and logistics disruption). While full recovery is not yet complete, leading indicators are trending positively across all seven domains.

ARR: \$94.2M (Q3 2025) | Monthly Churn: 2.1% | Uptime: 99.4% | OEE: 74.2% | Logistics OTD: 88.4%

Domain Performance Summary

Status		
ARR (3M)		
Monthly Churn		
Uptime target		
Recpt targetTM		
OpEx target		
Trnplnt EEs		
Logistics target		
COGS target		
Scope target CO2e		

Financial Highlights

Series B (\$15M) closed April 2024 extended cash runway to 18+ months. Current monthly burn rate: \$840K. ARR recovery from \$88.1M trough (Q1 2025) to \$94.2M (+6.9%). Gross margin compression (68.8% vs. 70% target) driven by elevated hardware COGS post-Flex supply disruption. EBITDA expected to reach break-even in Q1 2026 as churn normalizes and headcount costs plateau.

Customer Retention Recovery

- The retention crisis (peak churn 5.4% Feb 2024) has been substantially addressed:
- 5 CSMs redeployed to retention taskforce (Q1 2024) -- now permanent team structure
 - API v2 white-glove migration completed for all 22 at-risk accounts (April 2024)
 - Support SLA restored to <2h P1 response (3 support engineers hired Q1 2024)
 - Slack/Teams integration launching October 15 (addresses top churn driver)
 - LTV:CAC recovering: 1.1x (Feb 2024) -> 2.2x (Q3 2025) -- target 3.0x by Q2 2026

Security Posture Post-Breach

The October 2024 cybersecurity incident (unauthorized access via compromised JWT key) has driven significant improvements to NexaCore's security architecture:

- HashiCorp Vault deployment: 94% of secrets migrated (completion: Q4 2025)
- Zero-trust network architecture (Istio service mesh): 60% implemented
- External penetration testing (NCC Group) completed Q1 2025 -- 3 critical findings, all remediated
- SOC 2 Type II recertification: passed March 2025 audit
- Security compliance score: 74.2% -> 91.8% (Oct 2024 to Sep 2025)

Q4 2025 Priorities

Target Date		
Q4 2025	Product integration GA release	
Q4 2025	NewOps25 100% adoption	
Q4 2025	ARR \$100M run-rate	
Q4 2025	Operating=75%	
Q4 2025	Logistics: >=92%	

Full recovery to pre-crisis baseline metrics projected Q2 2026. FY2026 ARR forecast: \$108-\$112M.

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